- **Disadvantages:** The draw backs of internal audit are it involves high cost, unsuitable for small organization, lack of expertise, conflicts between internal audit staff and other staff.
- **Difference between Internal Check, Internal Control and Internal Audit:** Internal Check, Internal Control and Internal Audit are complementary to each other as both are the two parts of the whole system of internal control. There exists a difference between the two systems.

KEY TERMS

- Internal Audit – It is an independent, objective assurance and consulting activity designed to add value and improve an organization's operations. It helps an organization to accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

EVALUATION

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I. Multiple Choice Questions:

1. The Internal Audit is conducted by _____
   a. Government Auditor
   b. External Auditor
   c. Internal Auditor
   d. Cost Auditor
2. The main objective of Internal Audit is _____
   a. Detection of errors and frauds
   b. Regular recording of business transactions
   c. Preparation of financial statement
   d. Preparation of audit report
3. Internal Auditor is appointed by _____
   a. Board of directors
   b. The business concern
   c. Shareholders
   d. Government
4. The internal audit is carried at _____
   a. The end of the year
   b. Throughout the year
   c. Regular intervals
   d. After the accounts are closed

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